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Product Allocation Is the New Asset Allocation

“Asset allocation explains 95% of investment performance.”

Myth #10

In the early years of our financial life, as we are busily working and converting our human capital into financial capital, the single most important piece of economic wisdom that one should strive to implement is the concept of diversification. Proper diversification is usually practiced by making sure that our financial capital is allocated across many diverse and uncorrelated asset classes, which hopefully do not share the same risk factors as our human capital. Indeed, asset allocation—whether it is across stocks and bonds, value and growth, small cap and large cap—is the cornerstone of diversification. The two ideas go hand in hand.

However, as we get closer to retirement, I believe that asset allocation takes on a more limited role, compared to the much more important and critical decision of a suitable product allocation. By the term product allocation, I mean the decision of how much of your retirement income should come from conventional financial instruments, such as mutual funds or exchange traded funds, and how much should be generated by pension-like products, such as life annuities, variable annuities, and other guaranteed insurance products. In this chapter, I discuss and present one possible approach to determining a suitable Product Allocation for Retirement Income, which is abbreviated by the acronym PrARI®.¹